

Here then was a venture which under the most unfavorable conditions could have shown a maximum loss of only \$56.50, but contained by no means remote possibilities of a thousand dollar profit. Not a bad chance, was it? Add further that it required little capital (as the money really tied up was negligible), and that the carrying charge was insignificant since the bond interest almost offset the dividends on the stock. How much safer this is than the ordinary market commitment is apparent when we consider that the man who bought the 100 Lackawanna at par is out \$1,700, if he still holds it; while on the other hand if Republic had been sold short when it reached par, the speculator would soon afterwards have faced a forty point loss.

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This is a good opportunity to point out the technical difference between hedging, as described above, and arbitraging. An arbitrage is supposed to assure a definite profit within a fairly definite time. If, for instance, it had been possible (as no doubt it was for the bond specialist) to buy Lack Steel convert. 5s at par, and simultaneously sell the stock at 100¼, such an operation would have constituted a real arbitrage. For the bonds could have immediately been converted and the new stock delivered, with a \$25 profit.

The arbitrageur always expects to exchange the security he buys for the one he sells; the hedger will only do so if he must, and usually suffers a small loss thereby. His profit is found in selling out what he buys and buying in what he sells at a more favorable difference, or "spread," then at the beginning of the operation. The arbitrageur may of course delay converting in the hope of undoing his operation to bet-